

Growth objectives & economies of scale

3.3.2.1 Business growth · Mr. Akram — Akademy

Businesses grow to win lower unit costs, greater market power over customers and suppliers, more market share and brand recognition, higher profit, and long-term competitive advantage.

Organic vs inorganic growth

- **Organic (internal)** — from the firm's own operations (more stores, new products). Slower, lower-risk.
- **Inorganic (external)** — through mergers and takeovers. Faster, but costlier and riskier.

Economies of scale

Internal economies of scale: as a business increases the scale of its operations, output rises and the average cost per unit falls. Lower unit costs let a firm cut prices and sell more at the same margin, or keep prices and earn more profit per unit.

The five internal economies (VW — world's largest car maker, twelve brands):

- **Purchasing (bulk-buying)** — big per-unit discounts on huge component orders.
- **Production (technical)** — large, specialised plant and robotics spread over more cars.
- **Financial** — large firms borrow more cheaply.
- **Marketing** — campaign cost spread across millions of units.
- **Managerial** — can afford specialist managers who raise efficiency.

External economies of scale

Lower unit costs from factors outside the firm — industry growth and geographical clustering. Example: **Dubai Silicon Oasis** (900+ start-ups from 72 countries, blockchain & AI): expertise (skilled labour pool), co-operation (shared ideas/suppliers), and support services.

Diseconomies of scale

If a firm grows too big or too fast, unit costs rise again: communication problems, co-ordination/control difficulties, and lower motivation. The long-run average cost curve is U-shaped, so aim for the minimum efficient scale, not just maximum size.